

DDGPT

Investment Committee Memorandum

Generated: May 11, 2026

Risk Score: 0.50

Confidential institutional diligence report generated using DDGPT autonomous diligence workflows.

Risk Findings

YELLOW

UNDER TARGET PERFORMANCE

Detail: Net IRR below target IRR

Evidence: Net IRR=16.8% | Target IRR=18.0%

Why It Matters: Fund may be underperforming stated underwriting targets.

Question to Ask: What is driving the performance shortfall?

Extracted Metrics

Document	Net IRR	Target IRR	TVPI	Mgmt Fee	Carry
Northstar Growth Equity Fund IV.pdf	16.8	18.0	1.62	2.0	20.0

Full IC Memorandum

Investment Committee Memo: Northstar Growth Equity Fund IV

Date: [Insert Date]

Prepared by: [Your Name]

1. Top 3 Risks

1. Underperformance Relative to Target IRR

- Evidence: Net IRR of 16.8% is below the target IRR of 18.0% (Flag: UNDER_TARGET_PERFORMANCE).
- Risk: The fund may not meet its stated underwriting targets, potentially impacting investor returns.

2. Reliance on Unrealized Appreciation

- Evidence: Unrealized appreciation materially contributes to the current TVPI of 1.62x (Notes).
- Risk: Realized returns may be lower if unrealized gains do not materialize as expected.

3. Management Fee Structure Changes

- Evidence: Revised management fee of 2.25% for new LP commitments in 2026 (Notes).
- Risk: Changes in fee structure could impact the fund's economics and investor alignment.

2. Inconsistencies

Management Fee Discrepancy

- Evidence: Management fee is stated as 2.00% on committed capital (Extracted Data), but notes mention a revised 2.25% fee for new commitments in 2026.
- Issue: The current fee structure is unclear, and the revised fee may not apply to existing commitments.

Low Confidence in Management Fee Data

- Evidence: Confidence score for management fee is 0.294, with evidence snippet not found verbatim on the cited page (Notes).
- Issue: Reliability of the reported management fee is questionable.

3. Recommendation: INVESTIGATE

Justification:

1. Performance Shortfall: The net IRR of 16.8% is below the target IRR of 18.0%, raising concerns about the fund's ability to meet its goals (Flag: UNDER_TARGET_PERFORMANCE). Further investigation is needed to understand the drivers of this shortfall.
2. Unrealized Appreciation: The material contribution of unrealized gains to the TVPI of 1.62x warrants scrutiny to assess the sustainability of returns.
3. Fee Structure Changes: The revised management fee of 2.25% for new commitments introduces complexity and requires clarification on its impact on existing investors.
4. Data Reliability: The low confidence score (0.294) for the management fee and the discrepancy in evidence snippets raise concerns about data accuracy.

4. Questions to Ask

1. What specific factors are driving the net IRR below the target IRR?
2. How realistic are the unrealized gains contributing to the TVPI?
3. How will the revised management fee structure impact existing and new investors?
4. Can the management fee data be verified with additional evidence?

End of Memo